HEIRSTONE CONSULTING

FLEXIBLE WORKSPACE

Renting the brand

How flexible-office operators are handing the fit-out and the risk back to building owners, and which structure suits landlords from Cairo and Casablanca to Lagos, Nairobi, Abidjan and the Gulf



SIX NUMBERS FROM THIS REPORT

98%

of the 728 centres IWG signed in the first half of 2026 were capital-light, funded by building owners or franchise partners

US$1.2m

net growth capital IWG spent per new centre in 2017-19, against about US$72,000 in the 18 months to mid-2025, as owners and franchisees took on the fit-out (Heirstone analysis)

15%

of managed and franchised system revenue kept by IWG as fees in H1 2026, of which recurring management fees were 6.5% (Heirstone analysis)

14.6 m²

of prime office in Dar es Salaam rented by one month of IWG's entry price, against 0.8 m² in London: the Heirstone Desk-to-Lease Ratio across 22 cities

186

IWG centres in 18 Sub-Saharan countries, 47% of them in South Africa; Kenya's count rose from 12 to 30 in about fifteen months

66

locations listed on IWG's Egypt pages in 2026, the most of the nine Middle Eastern and North African countries covered here; IWG had 18 Egyptian centres at the end of 2024

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ABOUT THIS REPORT

Heirstone Consulting advises landlords, developers, investors and governments across the Middle East and Africa on office, mixed-use and specialised real estate. This report uses public sources current in 2026: operator results and websites, landlord disclosures, broker research, investment-authority releases and press reports citing them. Every figure is referenced in the exhibit sources and in the notes at the end.

Where we combine published figures to produce a new one, such as a fee take or the Desk-to-Lease Ratio, the calculation is labelled Heirstone analysis and the inputs are shown. Local-currency figures carry a US dollar equivalent at the 2026 rates unless stated.

READING THE EXHIBITS

Exhibits are numbered in page order. Each title states the finding; the line below gives the measure, unit and period, and the source line the issuer and date. The six structures defined in chapter 2 keep the same colours throughout.

Operator lease · Variable rent or revenue share · Franchise or licence · Management agreement · Landlord joint venture or white label · Owner's own brand

SUMMARY

Flex operators have handed the floor back to building owners. In Africa and the Middle East the question is which structure to sign, and on what numbers.

We assembled public evidence on flex operators and landlord brands in Africa, the Middle East and Europe, and benchmarked IWG's entry prices against prime office rents in 22 cities.

1 **IWG has almost stopped signing leases; Europe is following.**

IWG signed 728 centres in the first half of 2026, 98% of them capital-light, and its managed and franchised network doubled to 2,230 in eighteen months. In Europe 63% of operators now expand through management agreements, against 45% in 2023, according to Workthere.

2 **Owners now fund the fit-out and pay for the brand with a share of revenue.**

IWG's growth capital fell from about US$1.24m per new centre in 2017-19 to about US$72,000. Its fees take about 15% of managed and franchised revenue. The larger cost to the owner is the ramp: managed centres earned 40-62% of the revenue per room of IWG's own centres.

3 **Flex prices vary far less than rents, so the spread is widest where rents are low.**

Across 22 cities IWG's entry prices vary about sevenfold and prime rents sixteenfold. One month of the entry price rents 14.6 m^2 of prime office in Dar es Salaam, 7 m^2 in Nairobi and Dakar and under 1 m^2 in London and Lagos. Where the ratio is high, a fixed lease hands the spread to the operator.

4 **Sub-Saharan Africa is a partnership market, with landlord capital in South Africa.**

IWG lists 186 centres in 18 Sub-Saharan countries; its Kenyan count rose from 12 to 30 through partnerships with local owners. Growthpoint, a South African REIT, was reported in 2019 as half-owner of Workshop17 and launched its own flex brand in 2022. KOFISI, AfricaWorks and Norrsken House Kigali add premium, francophone and campus formats.

5 **IWG calls Egypt its fastest-growing market in the Middle East and Africa; local operators already work with landlords.**

IWG had 18 Egyptian centres at the end of 2024; its Egypt pages listed 66 locations in 2026, and it says its largest centre worldwide will open at The Ark in New Cairo. Cairo had more flex operators than Paris on Colliers' 2024 count. MQR has worked for landlords since 2017; CO-55 runs floors under its clients' names.

WHAT IT MEANS

Landlords and developers should price each floor as a lease, a management agreement and an own brand, and keep the spread where the Desk-to-Lease Ratio is high.

Investors and lenders should underwrite managed flex like a hotel: on the ramp, the fee terms and the owner's capital for the fit-out.

Governments and free zones should let licensed flex centres serve as registered offices and publish flex stock each year.

22

cities in the Heirstone Desk-to-Lease Ratio, in Africa, the Middle East and Europe

6

structures on the Heirstone flex structure ladder, and a six-question test for choosing between them

CHAPTER 1

01

The operator steps off the lease

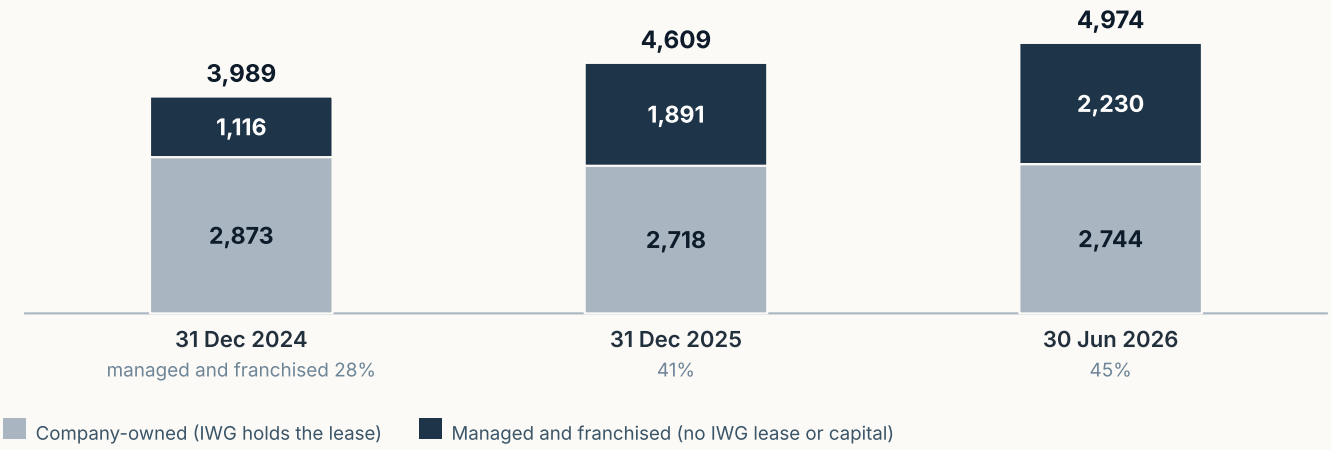
For two decades flexible offices ran on a simple trade. An operator leased a floor for ten or fifteen years and resold it by the month. Since 2023 the largest operator, IWG, has almost stopped signing them, and European operators are moving the same way. They sell their brand, booking systems and sales network to the owner of the building, who funds the fit-out and keeps the revenue after a fee.

This chapter measures the shift at IWG, the operator of Regus, Spaces, HQ and Signature, and among European operators, and follows the different routes taken by WeWork, CBRE and the listed operators.

EXHIBIT 1

IWG's managed and franchised network doubled in eighteen months while the estate it leases itself shrank

IWG centres by operating model at 31 December 2024, 31 December 2025 and 30 June 2026; share managed and franchised below



Source: IWG plc, Annual Report and Accounts 2025 (16 March 2026) and half-year results to 30 June 2026 (August 2026). Shares: **Heirstone analysis.**

IWG had 4,974 centres at 30 June 2026. Of these, 2,230, or 45%, were managed or franchised: IWG holds no lease on them, spends no capital on them and earns a fee from their revenue. At the end of 2024 the figure was 1,116 of 3,989, or 28%. The estate IWG leases itself fell from 2,873 to 2,744 centres over the same eighteen months.

The pipeline is more one-sided still. IWG signed 1,132 new centres in 2025, 99% of them capital-light, and of the 782 it opened that year 769 were capital-light. At mid-2026 it had 358,000 managed and franchised rooms open and another 257,000 signed, which it expects to produce more than US$2bn of system-wide revenue a year once open and mature.

45%

of IWG's centres were managed or franchised at June 2026, against 28% at the end of 2024

257,000

managed and franchised rooms signed but not yet open at June 2026

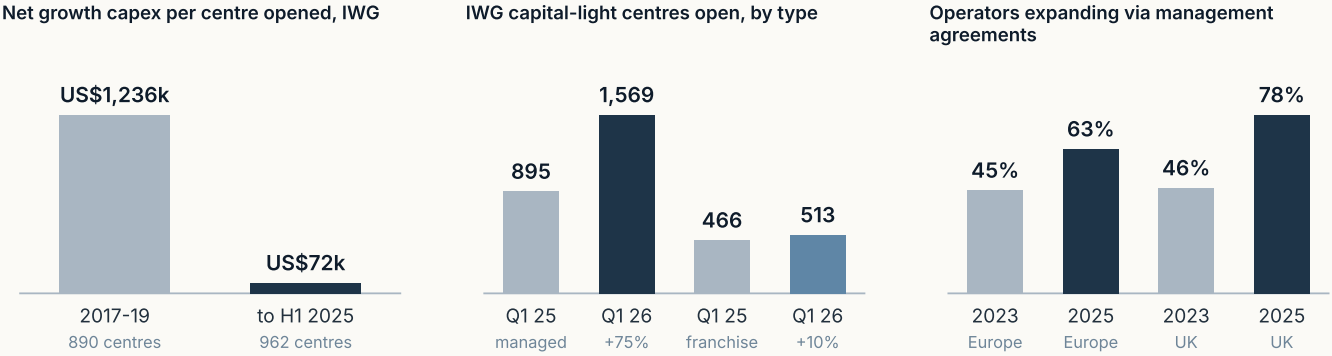
WHO PAYS FOR THE FIT-OUT

Owners now fund the fit-outs that IWG once paid for, and management agreements carry the shift

EXHIBIT 2

IWG spends about a seventeenth of the growth capital per new centre that it spent in 2017-19, and its managed centres grow far faster than its franchises

Three measures of the capital-light shift: net growth capital per centre opened (US$ thousand); IWG managed and franchised centres open; share of European and UK operators expanding through management agreements (2025 year to date)



Source: IWG plc, Investor Day presentation (4 December 2025) and First Quarter Trading Statement (12 May 2026); Workthere (Savills), Flexmark report (1 December 2025). Per-centre capital: **Heirstone analysis** (US$1.1bn / 890; US$69m / 962). Centre sizes and building costs differ between the two periods, so the comparison is approximate.

IWG set out the arithmetic at its December 2025 investor day. In 2017-19 it spent US$1.1bn of net growth capital to open 890 centres, about US$1.24m each. In the 18 months to June 2025 it opened 962 centres for US$69m, about US$72,000 each. Centre sizes and costs differ between the two periods, so the gap of about US$1.2m a centre is only a rough guide to the capital that has moved to partners. IWG describes its management agreements as 100% landlord-funded, and owners still contributed US$41m in 2025 towards the capital IWG did spend.

The partners are mostly established owners: IWG says more than 80% of them own several buildings and about a quarter are institutions. Under a franchise the franchisee funds the centre; under a management agreement the building owner does. IWG's managed centres rose 75% in the year to March 2026, to 1,569, and its franchised and joint-venture centres 10%, to 513, so the new capital comes mainly from owners.

Europe is moving the same way. Workthere found that 63% of European operators were expanding through management agreements in 2025, against 45% in 2023; in the UK the share rose from 46% to 78%. Savills expects management agreements and hybrid leases to pass 70% of European expansion in 2026. Asia remains lease-led, with 56% of operators expanding mainly through leases. Cushman & Wakefield singled out the move to management agreements in its 2024 review of Germany's flex market.

100%

of capital expenditure funded by the landlord under IWG's managed partnerships, as presented at its 2025 investor day

>80%

of IWG's partners own several buildings; about 25% are institutions

>70%

share of European operators expected to expand through management agreements and hybrid leases in 2026 (Savills)

ROUTES OFF THE BALANCE SHEET

WeWork, CBRE and the listed operators reached the same place by different routes

EXHIBIT 3

Seven large operators, four routes: management agreements, licences, partner networks and, at Servcorp, leases that still pay

How the main global and listed operators carry their space, latest disclosures; colour shows the closest structure on the ladder in chapter 2

OPERATOR	OWNER	FOOTPRINT	MAIN ROUTE SINCE 2023	EVIDENCE
IWG	Regus, Spaces, HQ, Signature	4,974 centres, 120+ countries (Jun 2026)	Management agreements and franchises	98% of H1 2026 signings capital-light; 1,569 managed centres (Q1 2026); 756 of 2,718 company-owned centres on variable rents (Dec 2025)
WeWork	Yardi (majority owner)	600+ locations in 34 countries incl. licensees; 2,000+ partner spaces	Renegotiated leases, country licences, partner network, enterprise management	Restructured 2023-24; about 1m sq ft run for Amazon; 75+ Vast Coworking partner locations added (Oct 2024)
Industrious	CBRE (100% from 2025)	250+ locations, 85+ cities	Partnership (management) agreements	CBRE paid about US$400m for the remaining equity, implied value about US$800m (Jan 2025); management fee plus a share of profits
Servcorp	Listed (ASX)	137 floors, 38 cities, 19 countries (FY26)	Leases	A$353m of lease liabilities (Dec 2025); Europe and Middle East segment profit A$50.0m on A$163.0m revenue (FY26)
Mindspace	Private	50 locations, 7 countries	Management agreements and leases	Five management agreements by 2020, about 222,000 sq ft; 54,000 sq ft lease in San Francisco (Jul 2026)
WeWork India	Embassy Group (majority owner); listed in FY2025/26	76 centres, 126,900 desks (Mar 2026)	Brand licence; leases; enterprise-led	86.9% occupancy; 20.2% EBITDA margin (FY26); enterprises 77% of core revenue
Awfis	Listed (NSE)	251 centres, 170,000 seats (Jun 2026)	Managed aggregation: owner and operator share capital and revenue	57% of the portfolio; 83% occupancy in centres open over 12 months

Source: IWG plc (H1 2026 results; Annual Report 2025); WeWork website (seen 2026); Bisnow (10 June 2025; 15 October 2024); WeWork India website (seen 2026); CBRE Group via Business Wire (14 January 2025); Industrious (locations page; company blog, c.2020); Servcorp 1H26 report (18 February 2026) and FY26 results via StockWire X (20 August 2026); Allwork.Space (February 2020; 21 July 2026); WeWork India Q4 FY26 release (21 May 2026); Awfis Q1 FY27 investor presentation (13 August 2026).

WeWork's restructuring is the dated turning point. It filed for Chapter 11 on 6 November 2023 and emerged in June 2024 with Yardi as majority owner and a smaller lease book. Its network now mixes renegotiated leases, country licensees such as Embassy Group's WeWork India and more than 2,000 partner spaces, and it manages close to 1m sq ft of offices for Amazon.

CBRE took the other route. It bought 35% of Industrious for US$200m in 2021 and the rest in January 2025, at an implied enterprise value of about US$800m, or at most about US$4m for each of its more than 200 units. Industrious earns a management fee and a share of profits, and its revenue grew more than 50% a year from 2021.

Leases still work for some operators. Servcorp runs 137 floors on leases and earned a 30.7% segment margin in Europe and the Middle East in its 2026 financial year, against 16-20% in its other mature regions. WeWork India fills its leased centres to 86.9%, mainly with enterprise clients. Both choose their buildings and sell mostly to corporate teams.

2,000+

partner spaces in WeWork's network, beside its 600+ locations in 34 countries (2026)

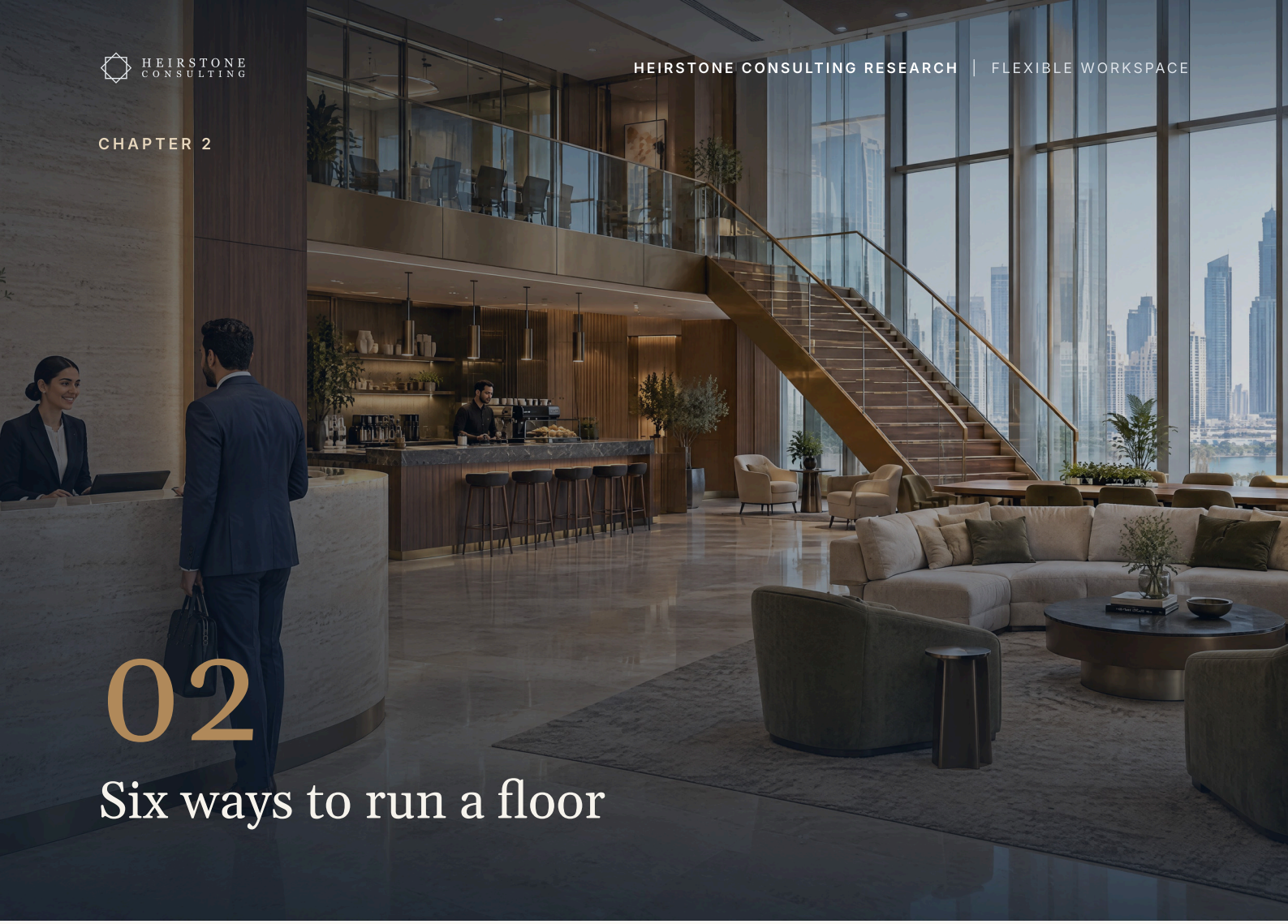
US$800m

implied enterprise value of Industrious when CBRE bought the remaining stake in January 2025

30.7%

Servcorp's FY26 segment margin in Europe and the Middle East, on leased floors (Heirstone analysis)

CHAPTER 2



02 Six ways to run a floor

Every structure answers four questions: who pays for the fit-out, who carries the risk of empty desks, whose name is on the door and what the owner is paid.

311

flex sites developed by landlords across EMEA since 2020, 607,390 m² in all, according to Colliers

1,953 m²

average size of those landlord sites (Heirstone analysis)

A flexible office has three ingredients: a fitted-out floor, an operating business that sells desks and offices by the month, and a brand that brings in members. Until about 2020 one company usually provided all three, on a lease. Today they are increasingly split. The owner of the building may fund the floor, an operator may run it and a third party may own the brand, or the owner may do all three itself.

We distinguish six structures. At one end is the operator lease, where the operator carries everything and pays a fixed rent. At the other is the owner's own brand, where the owner carries everything and keeps the whole margin. Between them sit variable-rent leases, franchises and country licences, management agreements, and joint ventures or white-label brands run by a specialist for an owner.

Two further arrangements sit beside the ladder: floors run under the occupier's own name, and aggregators that sell other operators' space. Each step down the ladder moves capital and the risk of empty desks from the operator to the owner and gives the owner a larger share of the revenue. The next page sets out the six with published examples from Europe, Africa and the Middle East; chapter 3 measures what they cost and pay.

THE HEIRSTONE FLEX STRUCTURE LADDER

From the operator's lease to the owner's brand

EXHIBIT 4

Each step down the ladder moves the fit-out, the risk of empty desks and more of the margin to the building owner

Heirstone flex structure ladder: six structures and two related arrangements, with published examples; dots show the owner's relative capital and share of the operating margin (Heirstone assessment)

STRUCTURE	WHO FUNDS THE FIT-OUT	WHO CARRIES EMPTY DESKS	WHOSE BRAND	WHAT THE OWNER IS PAID	OWNER'S CAPITAL	OWNER'S MARGIN	EUROPE AND GLOBAL	SUB-SAHARAN AFRICA	MIDDLE EAST AND NORTH AFRICA
1 **Operator lease**	Operator	Operator; owner has covenant risk	Operator	Fixed rent	○○○○	●○○○	IWG's 2,744 company-owned centres; Mindspace, San Francisco (2026)	Redefine's two 15-year WeWork leases, Sandton (2019)	WeWork, One Central, Dubai; KOFISI, Expo City Dubai (whole building, 2026)
2 **Variable rent or revenue share**	Operator, or shared	Shared	Operator	Lower base rent plus a share of revenue or profit	●○○○	●●○○	756 IWG centres on variable rents (2025); Awfis, India	Nairobi Grade B owners on profit and revenue shares (Knight Frank, 2026)	Terms not published
3 **Franchise or country licence**	Franchisee	Franchisee	Franchisor	Rent from the franchisee, or the owner is the franchisee	○○○○	●○○○	IWG master franchises in Japan, Switzerland and Taiwan (2019); WeWork India	Regus franchises in Guinea (Groupe Sonoco), Togo and Gabon (2021)	IC Group's two Regus centres in the New Administrative Capital (2021)
4 **Management agreement**	Owner (100% at IWG)	Owner	Operator	Centre revenue less costs and the operator's fee	●●●○	●●●○	IWG's 1,569 managed centres; Industrious (CBRE); Mindspace	IWG with local owners in Kenya (2025) and APD in Lagos (2024)	MQR with landlords since 2017; IWG with Najma Walk (2025)
5 **Landlord joint venture or white label**	Owner, or shared	Owner, or shared	Owner, or joint	Revenue less costs and the specialist's fee	●●●○	●●●○	Wojo, built by Bouygues Immobilier and Accor (sold to IWG, 2026)	Growthpoint: reported 50% of Workshop17 (2019); joint venture with OPEN (2017)	Sultan Holding with infinitSpace, Dubai and Abu Dhabi (2023)
6 **Owner's own brand**	Owner	Owner	Owner	All operating income	●●●●	●●●●	GPE Fully Managed; Landsec MYO; British Land Storey; Covivio Wellio; Nexity's Morning	Growthpoint WorkAgility, six buildings (2022)	DMCC premium offices; in5 (TECOM); CO-55's own New Cairo building
BESIDE THE LADDER									
+ **Occupier-branded floor**	Operator or occupier	Occupier, by contract	Occupier	Rent from the operator	n/a	n/a	WeWork's 1m sq ft run for Amazon	KOFISI's bespoke floors for large teams	CO-55's floors for ServiceNow and Accenture, New Cairo
+ **Aggregator or network**	Member operators	Member operators	Each operator	Indirect: extra demand	n/a	n/a	WeWork's 2,000+ partner spaces; The Instant Group	KOFISI and Workshop17 reciprocal network, 22 locations (2024)	Letswork, 1,030+ workspaces in 15 countries

Source: Heirstone compilation from the sources cited for Exhibits 3, 5, 14, 19 and 20 and listed in the notes; Knight Frank Africa Office Market Dashboard H1 2026 (Nairobi).

Names do not settle the structure. IWG calls most of its deals partnerships and few parties publish terms; for Spaces' 16,000 m² at The Ark in New Cairo, IWG has not said which structure applies. Every rung has a published European example; Sub-Saharan Africa shows leases, franchises, partnerships and South African landlord capital, while Egypt and the Gulf cover most of the ladder.

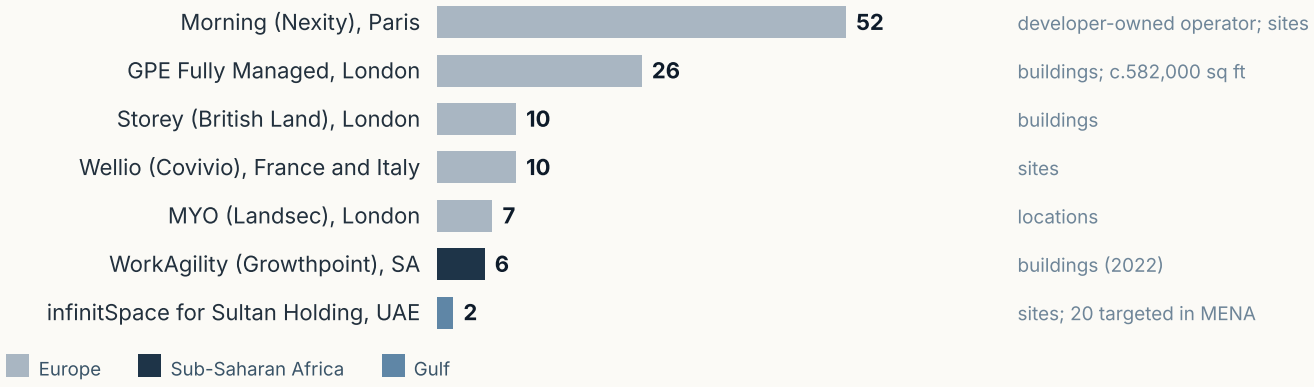
OWNERS' OWN BRANDS

Landlord brands in London and Paris show the scale an own brand needs

EXHIBIT 5

European landlord brands run 7 to 52 sites; the visible landlord brands in Africa and the Gulf have 2 to 6

Sites, buildings or locations operated under a landlord- or developer-owned flex brand, latest published count



Source: Morning website (seen 2026) and Workin.space (10 June 2025); Great Portland Estates (18 August 2025); Storey (seen 2026); Wellio (seen 2026); Landsec (11 March 2026); Property Flash (5 October 2022); Urban Living News (25 May 2023). Counts use each owner's own unit (sites, buildings or locations).

Great Portland Estates (GPE) publishes the most detailed figures for a landlord running its own flex. Its Fully Managed space covered about 582,000 sq ft in 26 central London buildings, 22% of its portfolio, in 2025. GPE fits the space out, runs it with all services included and lets it on terms averaging 3.7 years. Early in 2026 it let 38,400 sq ft at an average of £236 per sq ft, 9.7% ahead of estimated rental value.

Two conditions sit behind those numbers. GPE spreads a sales team and systems across 26 buildings, and it can fund a fit-out it writes off over ten years. Colliers counts 311 landlord-developed flex sites in EMEA since 2020, averaging about 1,950 m², with 72 opened in 2024 alone.

Landlord brands also change hands. IWG bought Wojo, the brand built by Bouygues Immobilier and Accor, in 2026, and Fora, now part of The Office Group, whose portfolio is backed by Blackstone Real Estate funds and Brockton Capital, advertises more than 70 UK workspaces. An owner that starts its own brand should plan from the outset for a later sale or a move to a management agreement.

Beside the ladder sit two arrangements that matter in Africa and Egypt. Occupier-branded floors put the tenant's name on the door: in New Cairo CO-55 runs floors labelled for ServiceNow and Accenture, and in the United States WeWork manages close to 1m sq ft for Amazon. Aggregators sell space without holding any. Letswork, founded in Dubai, lists more than 1,030 workspaces in 15 countries, and KOFISI and Workshop17 give members access to 22 locations in seven African countries.

GPE FULLY MANAGED, LONDON

Results reported by the owner, September 2024 (analyst deck, February 2025) and February 2026

6.8%	yield on cost, against a 6.0%+ target
41%	margin on services, against a 20%+ target
39-44%	rent premium over GPE's Ready-to-Fit space
74%	cash-flow advantage over equivalent traditional leases (Feb 2026)
91%	occupancy over the previous twelve months; average lease 3.7 years
£135	fit-out per sq ft (about US$1,921 per m²), written off over ten years

Source: Great Portland Estates, flex investor call deck (February 2025) and leasing update (February 2026). US$ conversion: Heirstone analysis.

CHAPTER 3

03 What the brand costs



Under a management agreement the fee is the visible cost of the brand. The fit-out and the ramp-up cost the owner more.

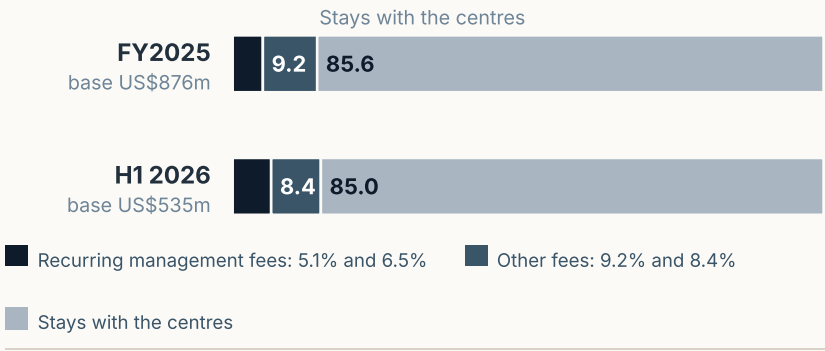
IWG does not publish its management fee rate. It says fees are typically a contractually agreed percentage of the revenue the centre generates. Its accounts allow the blended take to be estimated. In 2025 IWG earned US$126m of fees on US$876m of managed and franchised system-wide revenue, about 14.4%, and in the first half of 2026 US$80m on US$535m, about 15.0%. Recurring management fees alone came to about 5.1% and 6.5%; the rest of the fee line includes franchise and other fees.

On those blended figures an owner keeps roughly 85% of the centre's revenue before operating costs. According to Cape Business News, IWG's Africa business development director said in 2021 that its management fees there are fully performance-based, set as a share of net income, and that owners earn about 30% above market rent. That is the operator's claim. OfficeRnD, a workspace software firm, writes that operators typically need to offer 20-30% over market rent before landlords will consider a management agreement.

EXHIBIT 6

IWG keeps about US$15 of every US$100 its managed and franchised centres take

IWG fee income as a share of managed and franchised system-wide revenue, %



Source: IWG plc, Annual Report 2025 (16 March 2026) and H1 2026 results (August 2026). **Heirstone analysis.** The base includes franchised centres, so the figure is a blended take; IWG does not publish its contract rate.

The fee stream is valuable to the brand owner. IWG's recurring management fees rose from US$10m in 2023 to US$45m in 2025, and it guides to US$80m for 2026.

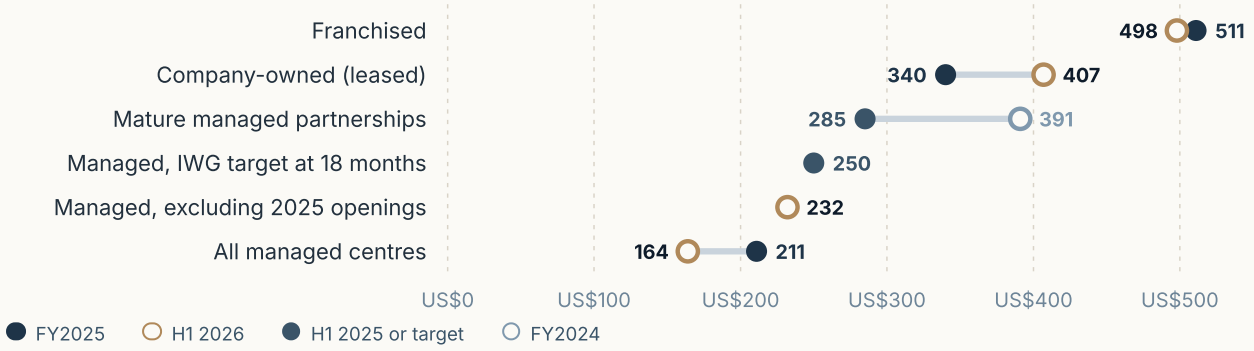
THE RAMP AND THE FIT-OUT

A managed centre took 40-62% of the revenue per room of IWG's own centres, on a fit-out the owner has already paid for

EXHIBIT 7

IWG's managed centres took US$164-211 a room a month on average, against US$340-407 in its own centres and a US$250 target at 18 months

Revenue per available room per month (RevPAR), US$, by operating model



Source: IWG plc, Annual Report 2025 (16 March 2026); H1 2026 results and presentation (August 2026); Investor Day (4 December 2025) for mature managed partnerships (FY2024 and H1 2025). The 18-month target is GBP 200, shown by IWG as US$250. Ratios to company-owned RevPAR: **Heirstone analysis.**

IWG's results show the ramp. Its managed centres averaged US$211 of revenue per available room a month in 2025 and US$164 in the first half of 2026, when hundreds of new centres were still filling; excluding those opened in 2025 the figure was US$232. Its own leased centres took US$340 and US$407. Mature managed partnerships took US$391 in 2024 and US$285 in the first half of 2025, against IWG's target of US$250 at 18 months for new ones. Franchised centres earn most, US$498-511, because they sit mainly in high-price markets such as Japan and Switzerland.

For the owner the ramp is revenue forgone on a fit-out it has already paid for. In South Africa the fit-out is the larger burden: about 107 months of prime rent in Johannesburg, against about 49 in Lagos and 29 in London's West End. South African landlords have put their own capital into flex. Growthpoint formed a joint venture with OPEN in 2017, was reported in 2019 and 2020 as half-owner of Workshop17 and its lender, and launched its own brand in 2022.

40-62%

managed RevPAR as a share of IWG's company-owned RevPAR, H1 2026 and FY2025 (Heirstone analysis)

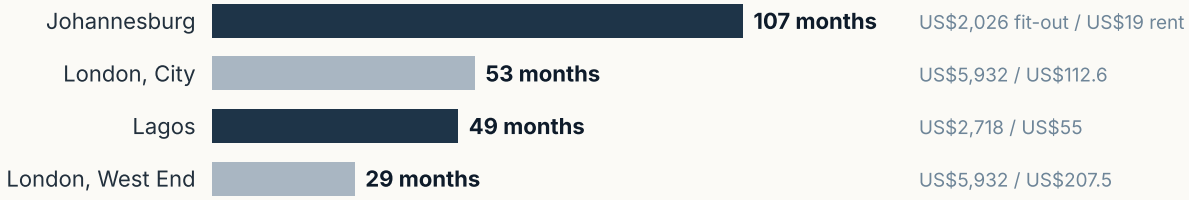
One third

Cairo's office fit-out cost as a share of London's on JLL's 2026 city cost index, approximate and read from a chart; Johannesburg about half, Dubai about 85%

EXHIBIT 8

A high-specification fit-out costs about nine years of prime rent in Johannesburg and four in Lagos

Fit-out cost per m² divided by monthly prime rent per m², months



Source: Turner & Townsend, Global Office Fit-Out Cost Guide 2026, via Engineering News (15 June 2026) for Lagos and Johannesburg, and "Typical office fit-out costs: what to expect in 2026" (Q1 2025 US$ basis) for London; Knight Frank Africa Office Market Dashboard H1 2026; Cushman & Wakefield, prime rents Q2 2026 (GBP 175 and GBP 95 per sq ft a year at US$1.3219). **Heirstone analysis.**

CHAPTER 4

04

Twenty-two cities, one price

The Heirstone Desk-to-Lease Ratio compares one operator's entry price with prime office rent in 22 cities of Africa, the Middle East and Europe.

7x

range of IWG's entry prices across the 22 cities, from US$1.58 a day in Nigeria to US$11.21 in Berlin

16x

range of prime office rents in the same cities, from US$13 per m² a month in Nairobi to US$207.5 in London's West End

Flexible-office prices travel better than rents. An operator with a network sells the same product at similar prices in cities whose office rents differ several times over. The gap between what flex sells for and what the same space would let for is the operating spread. Who captures it depends on the structure: under an operator lease the operator keeps it, under a management agreement it is shared and under an own brand the owner keeps it.

To compare that spread across Africa, the Middle East and Europe we need one price measured the same way everywhere. Survey averages do not exist for most African cities and use different samples where they do. We therefore use the one operator present in all three regions with published prices, IWG, and its lowest advertised monthly-plan price for a dedicated desk or a private office, quoted per person per day, as shown on its own pages in 2026.

The ratio divides that entry price, converted to a 30.4-day month in US dollars, by the latest prime or Grade A office rent per m² a month in the same city. The answer is the area of prime office that one month of IWG's entry price would rent. Listed operators' disclosures put a flex desk at about 4.6 to 6.3 m² of lettable area, including circulation: 4.6 m² at Awfis and 6.3 m² at WeWork India. Above that band the entry product alone pays more than the prime rent on the space a desk uses. Below it, flex is priced as a cheaper alternative to a lease.

THE RATIO

Desk-to-Lease Ratio, m² =
(IWG entry price per person per day x 30.4)
÷ prime rent per m² per month

Entry prices are IWG's lowest published desk or office price on the country page (city page in Europe). Rents are the latest prime or Grade A figures from Knight Frank, Cushman & Wakefield, CBRE, JLL and Colliers, dated 2024 to 2026. US$ at 2026 rates.

A national entry price is applied to second cities (Abuja, Cape Town, Jeddah). Entry prices are the lowest advertised, so the ratio shows pricing at the bottom of each market.

4.6-6.3 m²

lettable area per flex desk at Awfis and WeWork India (Heirstone analysis of their disclosures)

READING THE RESULT

Above 6.3 m²

The entry product alone pays more than the prime rent on a desk's footprint. The spread is wide, and a fixed lease to an operator hands most of it away; a management agreement or own brand keeps it.

4.6 to 6.3 m²

The entry price roughly matches the rent on the space a desk uses. The case for flex rests on premium products, services and occupancy, and the owner's capital and scale decide the structure.

Below 4.6 m²

Flex is priced as a cheaper alternative to a lease. Operators will rarely pay a full prime rent, so owners fill space through revenue shares and earn their premium on higher-grade floors.

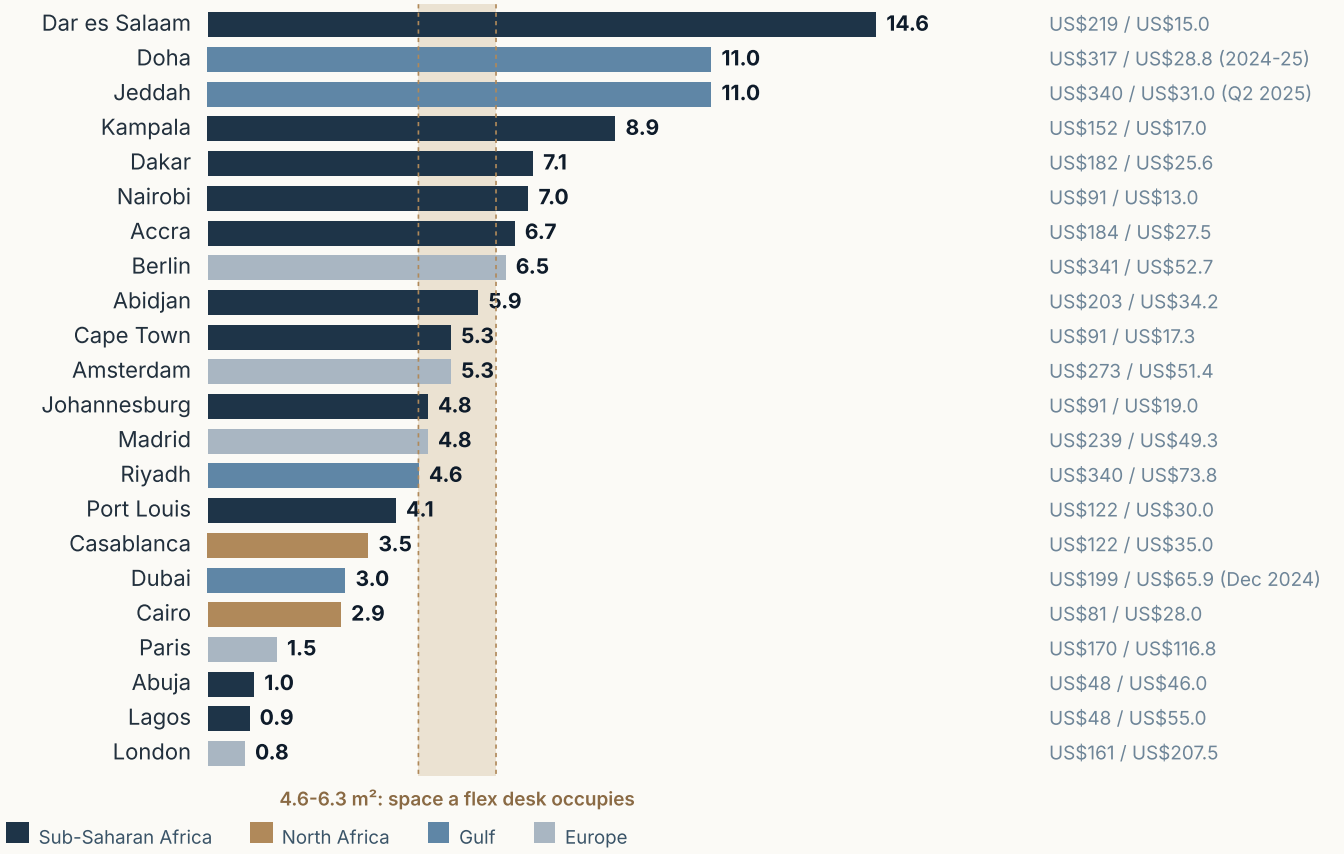
THE HEIRSTONE DESK-TO-LEASE RATIO

In eight cities IWG's cheapest product alone pays more than the prime rent on the space a desk uses

EXHIBIT 9

One month of IWG's entry price rents 14.6 m² of prime office in Dar es Salaam and less than 1 m² in London and Lagos

Heirstone Desk-to-Lease Ratio, m² of prime office rented by one month of IWG's lowest published desk or office price, 2026; right: entry price per month / prime rent per m² per month, US$



Source: IWG (Regus and Spaces) country pages for Africa and the Middle East and city pages for Europe, read 2026. Prime rents: Knight Frank Africa Dashboard H1 2026 and Africa Report 2026/27 (Accra and Cape Town at mid-points); Cushman & Wakefield Q2 2026 (Europe); CBRE Q2 2026 (Riyadh); JLL Q2 2025 (Jeddah); Knight Frank Winter 2024-25 (Doha, West Bay); Colliers December 2024 (Dubai). 2026 FX. **Heirstone analysis.** Riyadh reads 4.2 on JLL's Q2 2025 rent and 6.2-6.3 on Savills' Q2 2026 range. City pages show higher entry prices in Riyadh (SAR 65, ratio 7.1) and Cairo (EGP 200 for an office, ratio 4.1); Lagos centre listings start at NGN 2,900 against the national NGN 2,100, which would give Lagos 1.2.

Eight cities sit above the band: Dar es Salaam, Doha, Jeddah, Kampala, Dakar, Nairobi, Accra and Berlin. In each, IWG's cheapest product more than covers the prime rent on a desk's footprint. Five are Sub-Saharan cities with prime rents of US$13-28 per m² a month. Owners there gain most from a management agreement or an own brand.

Six sit inside the band and eight below it. London and Paris have some of the highest rents measured.

In Lagos and Abuja rents are quoted in dollars while IWG prices in naira, which lost about 72% of its dollar value between the 2022 and 2025 annual averages. Dubai's ratio rests on a December 2024 rent; JLL reports Grade A rents up 26.2% in the year to mid-2026. In Cairo, Casablanca and Port Louis IWG's national entry prices keep flex competitive with a lease; Egypt's is the lowest of the nine Middle Eastern and North African countries covered here.

8 of 22

cities where one month of IWG's entry price rents more than 6.3 m² of prime office

5

of those eight are Sub-Saharan: Dar es Salaam, Kampala, Dakar, Nairobi and Accra

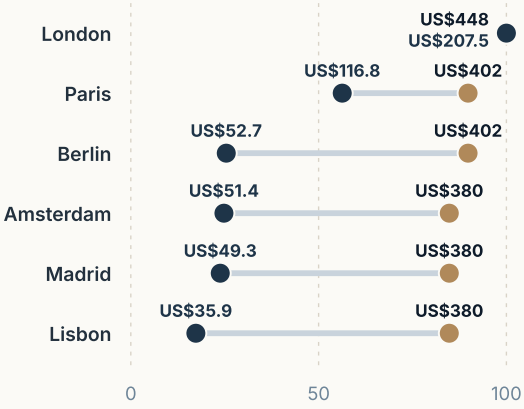
PRICES AND RENTS

Across six European capitals WeWork's price varies by 18% and prime rent almost sixfold; within Egypt, IWG's prices span 4.4 times

EXHIBIT 10

From London to Lisbon WeWork's list price falls 15% and prime office rent 83%

WeWork coworking membership list price per month (gold) and prime office rent per m² a month (navy), index London = 100; US$ values shown

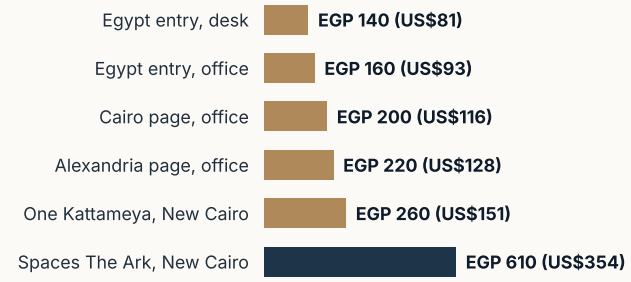


Source: WeWork city pages (seen 2026); Cushman & Wakefield, prime office rents Q2 2026. US$ at 2026 rates. **Heirstone analysis.**

EXHIBIT 11

IWG's Egyptian list prices run from EGP 140 to EGP 610 a day, with Spaces at The Ark in New Cairo at the top

Lowest published price per person per day on IWG's Regus and Spaces pages, EGP; in brackets US$ per 30.4-day month at EGP 52.43



Source: Regus Egypt, Cairo and Alexandria pages; Regus One Kattameya and Spaces The Ark Business Park centre pages (seen 2026). US$: **Heirstone analysis.**

WeWork lists its coworking membership at GBP 339 a month in London, EUR 359 in Paris and Berlin and EUR 339 in Amsterdam, Madrid and Lisbon, about US$380-448. Cushman & Wakefield's prime rents in the same cities run from about US$36 per m² a month in Lisbon to US$207.5 in London's West End. A network operator prices to its brand standard, so in Lisbon one membership rents about 10.6 m² of prime office and in London 2.2 m² (Heirstone analysis).

Prices within one market can vary as much as prices between markets. In Egypt IWG's entry price for a dedicated desk is EGP 140 a day, about US$81 a month, while Spaces at The Ark Business Park in New Cairo quotes private offices from EGP 610, about US$354. At The Ark's price one month rents about 12.2 m² of Grade A New Cairo business-park space at Knight Frank's US$348 per m² a year, about twice the footprint of a desk. IWG says Spaces The Ark, at more than 16,000 m², will be its largest centre worldwide.

Cairo therefore has two flex markets: a high-volume entry market priced as a cheaper alternative to leasing, and a premium market priced well above the rent of the space it uses. For an owner the relevant spread is the one for the product its building can sell. A Grade A business park that can sell offices to corporate teams sits at the top of the range; a smaller building outside the main business districts sits nearer the bottom.

4.4x

Spaces The Ark's private-office price relative to IWG's Egyptian entry price for a desk

12.2 m²

of New Cairo Grade A business-park space rented by one month at The Ark's list price (Heirstone analysis)

43%

Egypt's IWG entry price for a private office relative to the UAE's; 27% of Saudi Arabia's

CHAPTER 5

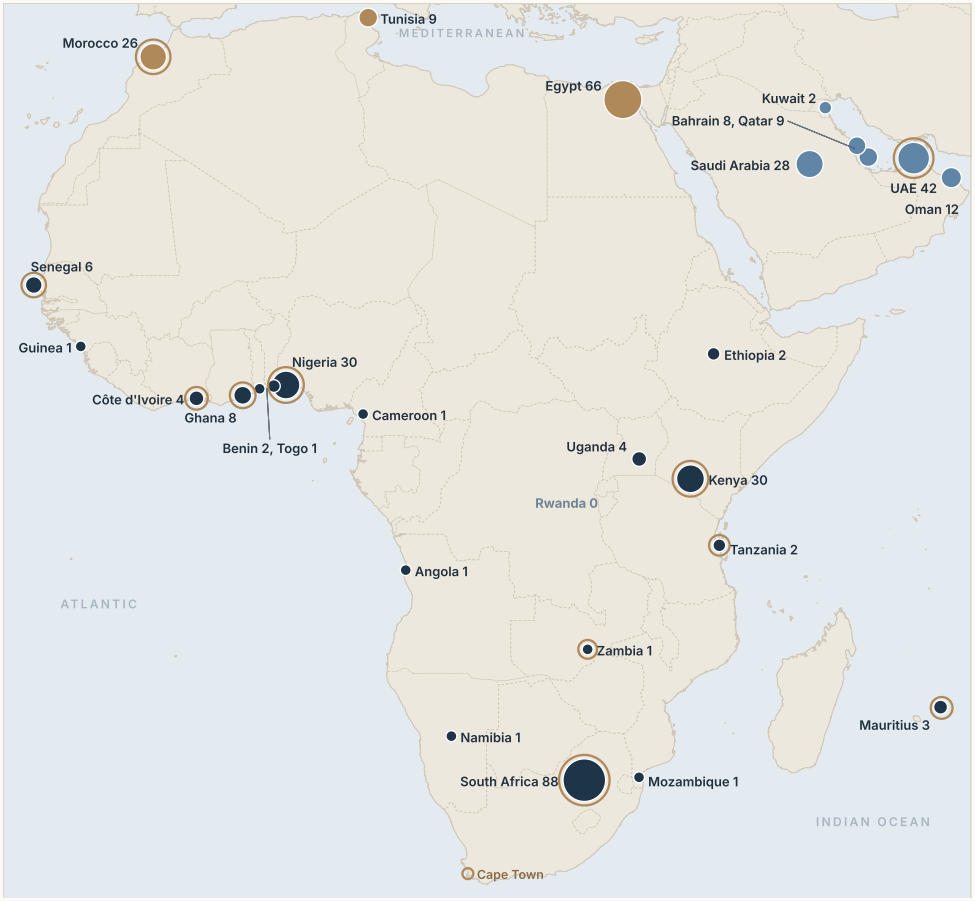
05 Partners south of the Sahara

IWG lists 186 centres in 18 Sub-Saharan countries on its own pages, against 101 in Egypt, Morocco and Tunisia and 101 in the six Gulf states. Its recent African growth has come through partnerships with local owners and franchisees. The independents, from KOFISI and Workshop17 to AfricaWorks, Jokkolabs and Norrsken House Kigali, add premium, francophone and campus formats, and in South Africa landlords have put in their own capital.

EXHIBIT 12

IWG's network across Africa and the Middle East is anchored in South Africa, Egypt and the Gulf

IWG locations listed per country, 2026, at the main business city; gold rings mark cities with KOFISI, Workshop17 or AfricaWorks centres



IWG LOCATIONS, 2026

Sub-Saharan Africa

186

18 countries; South Africa 88, Nigeria 30, Kenya 30

North Africa

101

Egypt 66, Morocco 26, Tunisia 9

Gulf

101

UAE 42, Saudi Arabia 28, Oman 12, Qatar 9, Bahrain 8, Kuwait 2

388

IWG locations in the 27 African and Middle Eastern countries covered here (Heirstone count)

Source: IWG (Regus and Spaces) country pages, read 2026; KOFISI, Workshop17 and AfricaWorks websites (seen 2026). City counts on IWG pages overlap, so totals use country headlines. Positions are city centres; Workshop17's Mauritius ring is at Moka.

Ghana and East Africa. IWG lists 8 locations in Ghana, 7 of them in Accra and one inside the Mövenpick Ambassador Hotel; AfricaWorks runs an Accra centre in the Kempinski, so both use hotel buildings. Uganda has 4 IWG centres, Mauritius 3 beside Workshop17's 4, and Ethiopia and Tanzania 2 each; KOFISI runs Oysterbay in Dar es Salaam.

Rwanda. IWG has no Rwandan page. Kigali's flagship is Norrsken House Kigali, a 12,000 m² foundation-backed campus on the former École Belge grounds with more than 1,400 members. With no IWG price to measure, Kigali sits outside the Desk-to-Lease Ratio.

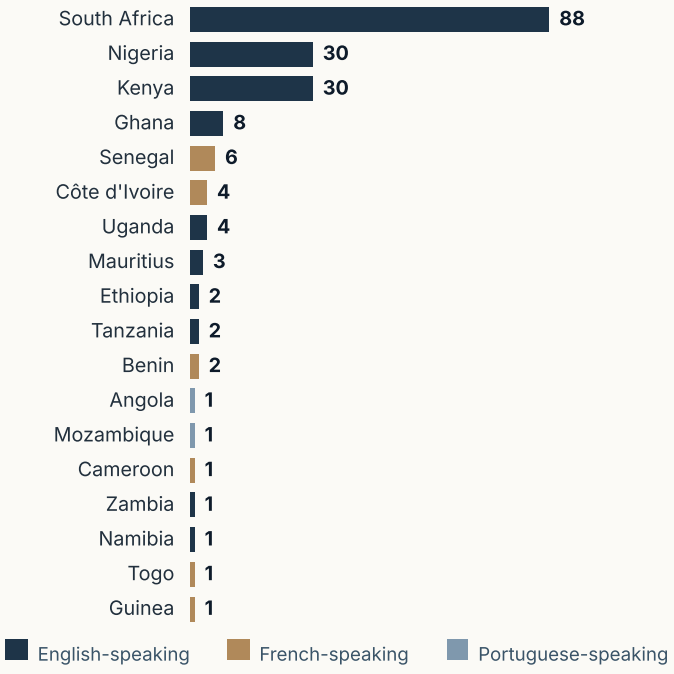
ANGLOPHONE AFRICA

South Africa holds almost half of IWG's Sub-Saharan centres, and Kenya more than doubled its count in about fifteen months

EXHIBIT 13

South Africa holds 47% of IWG's 186 Sub-Saharan centres; six francophone countries have 15

IWG locations listed on its country pages, all brands, 2026



Source: IWG (Regus) country pages, read 2026. Rwanda, DR Congo, Zimbabwe, Malawi and Madagascar have no IWG country page; Botswana and Gabon redirect to South Africa. Shares: **Heirstone analysis.**

South Africa. IWG lists 88 locations, including 21 on its Johannesburg page, 12 in Pretoria and 10 in Cape Town. It has the most published examples in Sub-Saharan Africa of landlords putting their own capital into flex. Growthpoint, described in 2019 as the country's largest REIT, formed a 50/50 joint venture with the operator OPEN in 2017 for eight sites of about 2,000 m^2, and was described in 2019 as 50% owner of Workshop17. Attacq brought Spaces into its 13,481 m^2 Gateway West building in 2018, and Redefine signed two 15-year leases with WeWork, including 10,000 m^2 at 155 West Street in Sandton. In 2022 Growthpoint launched WorkAgility, its own brand, in six buildings.

Kenya. IWG had 12 Kenyan centres in July 2025 and planned 20 by the end of that year, mostly under its HQ brand; its Kenya page lists 30 in 2026. The growth came through capital-light partnerships with local owners, including Pramukh Tower in Nairobi and Africa Workspace Hub in Mombasa, and Knight Frank records more than 2,000 m^2 of new IWG space in Nairobi in the second half of 2025.

Nairobi's serviced offices let at an average KSh 230.3 per sq ft a month in 2025 against KSh 108 for unserviced space, 2.1 times as much, according to Cytonn, and Knight Frank reports Grade B owners partnering with operators on profit- and revenue-sharing terms. Nairobi is also KOFISI's home: its 10-floor, 85,000 sq ft Kaskazi centre in Westlands leads a network built around large landmark buildings. Nairobi Garage runs four sites, and the UN Office at Nairobi, the only UN headquarters office in Africa, hosts the headquarters of UNEP and UN-Habitat.

Nigeria. IWG lists 30 locations: 15 in Lagos, 8 in Abuja and 3 in Port Harcourt. In December 2024 it agreed a partnership with the owner APD for a floor of Mansard Place in Lagos. BusinessDay, citing Fortren & Company data on more than 130 flex operators in Lagos, reports premium managed desks at up to US$6,080 a year; Venia Business Hub in Lekki sells multi-location access from NGN 45,000 a month (about US$34). Knight Frank links Lagos demand to SMEs, start-ups and NGOs; prime rent is quoted in dollars, at US$55 per m^2 a month.

12 to 30

IWG centres in Kenya, July 2025 to 2026, through partnerships with local owners

2.1x

rent per sq ft of Nairobi serviced offices against unserviced offices in 2025 (Cytonn)

130+

flex operators in Lagos tracked by Fortren & Company (BusinessDay, February 2026)

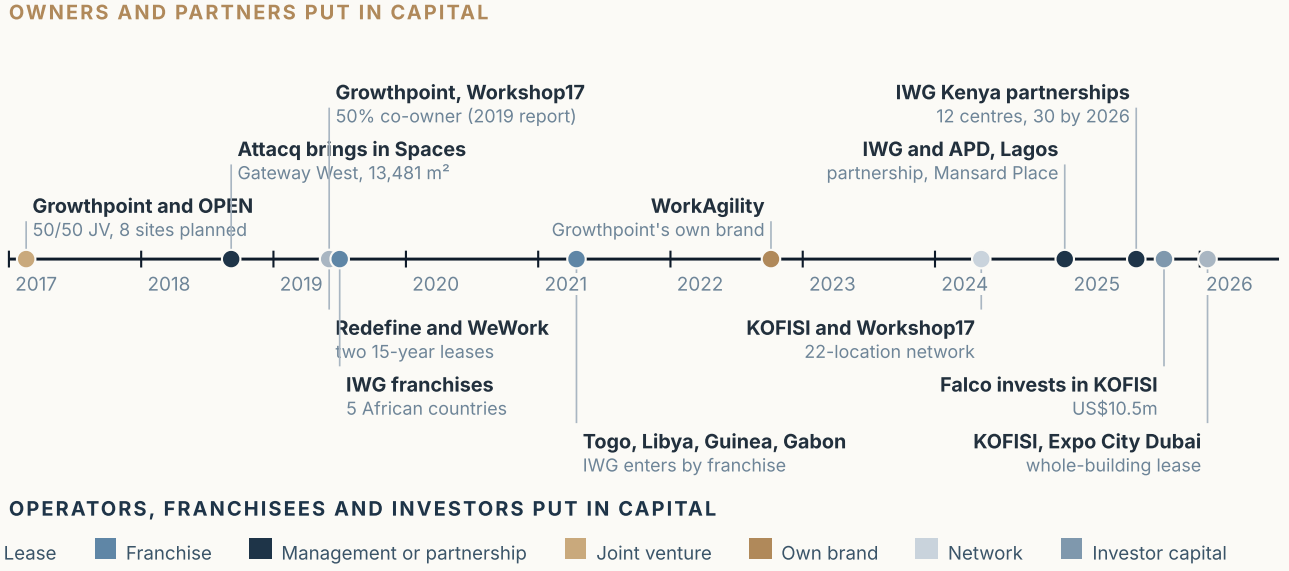
WHO FUNDS AFRICAN FLEX

South African owners, IWG's local partners and private investors have funded African flex since 2017

EXHIBIT 14

Owners put capital into flex in South Africa; elsewhere IWG brings its brand to owners' floors and the independents raise their own funds

Dated announcements by structure, 2017 to 2026; colour shows the structure on the ladder in chapter 2



Source: BusinessTech (16 February 2017); Waterfall City (4 September 2018); Fin24/Finweek (4 June 2019); Allwork.Space (2 July 2019; 15 April 2021); Property Flash (5 October 2022); HapaKenya (8 May 2024; 12 July 2025; 24 September 2025); ThisDay (25 December 2024); Tech-ish (10 July 2025); KOFISI (23 January 2026). Positions within a year are approximate; terms of the Attacq and APD deals were not disclosed.

KOFISI. Founded in Nairobi in 2014, KOFISI describes itself as the pioneer of the hotelification of the workplace in Africa and a leader in bespoke space for large teams. It reported about 600,000 sq ft operating in Kenya, Tanzania, Rwanda, Nigeria and Morocco in January 2026. According to HapaKenya, Falco Group of London invested US$10.5m in September 2025, part of a planned US$35m project-financing raise. In January 2026 KOFISI signed a whole-building lease at Expo City Dubai for a nine-floor centre of 95,000 sq ft or more, which it calls the UAE's largest business centre.

Workshop17. The South African operator runs nine sites in Johannesburg, Cape Town, Paarl and Ballito, added Century City in 2025 and Muizenberg in 2026, and has four in Mauritius. Memberships cost R2,010-5,175 a month before VAT (about US$121-311). In January 2020 it owned none of its seven properties: each ran on a lease or a management agreement, with Growthpoint as partner and lender.

IWG franchising. In 2019 IWG had sold franchises in five African countries, with 14 more targeted. In 2021 it used franchises to enter Togo, Libya, Guinea and Gabon, passing 25 African countries; its Guinean franchisee, Groupe Sonoco, opened La Tour Niger in Conakry, billed as the largest Regus centre in West Africa.

US$10.5m

invested in KOFISI by Falco Group in September 2025, part of a planned US$35m raise (HapaKenya)

22

locations in seven African countries open to KOFISI and Workshop17 members under their 2024 partnership

25+

African countries reached by IWG by 2021, several of them through franchises

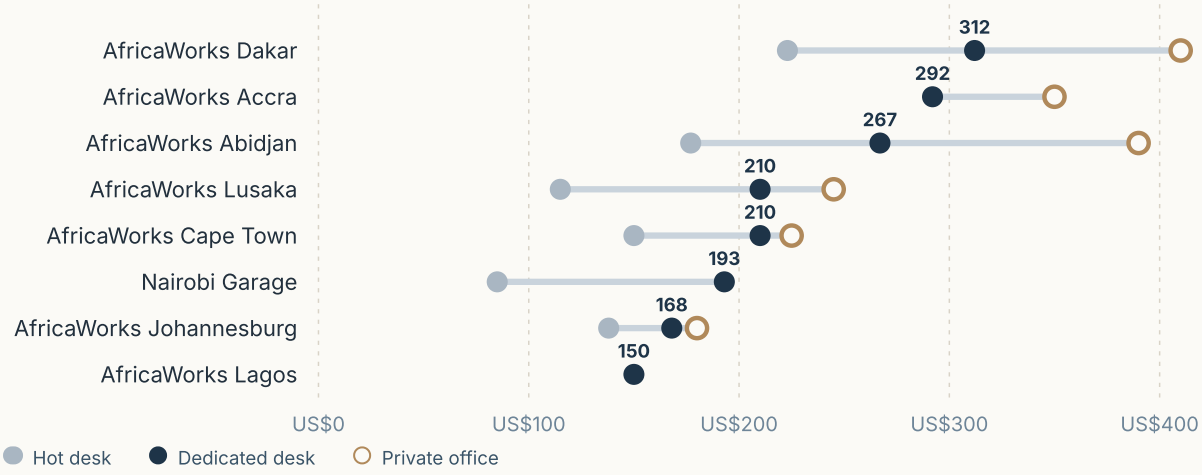
FRANCOPHONE AFRICA AND THE PRICE OF A DESK

Desks in Dakar and Abidjan are among the dearest in the sample, and francophone Africa has few international brands

EXHIBIT 15

A dedicated desk costs US$150-312 a month across eight African cities, the most in Dakar and Accra

Published monthly list prices, US$ at 2026 rates: hot desk, dedicated desk (value shown) and private office



Source: AfricaWorks city pages (US$ in Dakar, Abidjan, Accra and Lusaka; rand in Cape Town and Johannesburg; naira in Lagos, NGN 200,000); Nairobi Garage (KSh 11,000 and 25,000, before VAT); seen 2026. Conversions: **Heirstone analysis.**

AfricaWorks. The pan-African operator often called Africa Works is AfricaWorks, founded in 2019 with its first site in Abidjan; it closed a EUR 3.5m first round that year. It lists ten centres in Abidjan, Accra, Cape Town, Dakar, Johannesburg, Lagos and Lusaka and calls itself a coworking and coliving company; its Dakar centre offers coliving suites from US$70 a day.

Francophone West and Central Africa. IWG lists 6 locations in Senegal, 4 in Côte d'Ivoire, 2 in Benin and one each in Cameroon, Togo and Guinea, and none in DR Congo. Jokkolabs, founded in Dakar in 2010, runs innovation spaces in France and nine African countries, and according to Fraternité Matin the French brand Wojo presented a centre in Abidjan's Plateau district in April 2026. Knight Frank puts prime rent at XOF 20,000 per m^2 a month in Abidjan (about US$34), XOF 15,000 in Dakar (US$26), XAF 14,200-28,250 in Douala (US$24-48) and US$35 in Kinshasa. The CFA francs are pegged to the euro, so local rents and prices keep their euro value; Dakar sits above the Desk-to-Lease band at 7.1 and Abidjan inside it at 5.9.

Demand. African tech companies raised US$2.41bn of equity in 2025, led by South Africa, Kenya, Nigeria and Egypt, according to Partech. Senegal raised US$84m, up 137%, and francophone countries took 68% of equity funding outside the four largest markets. Corporates matter as much: Workthere finds that firms with more than 100 staff make up 47% of flex occupiers worldwide, up from 13% five years earlier.

15

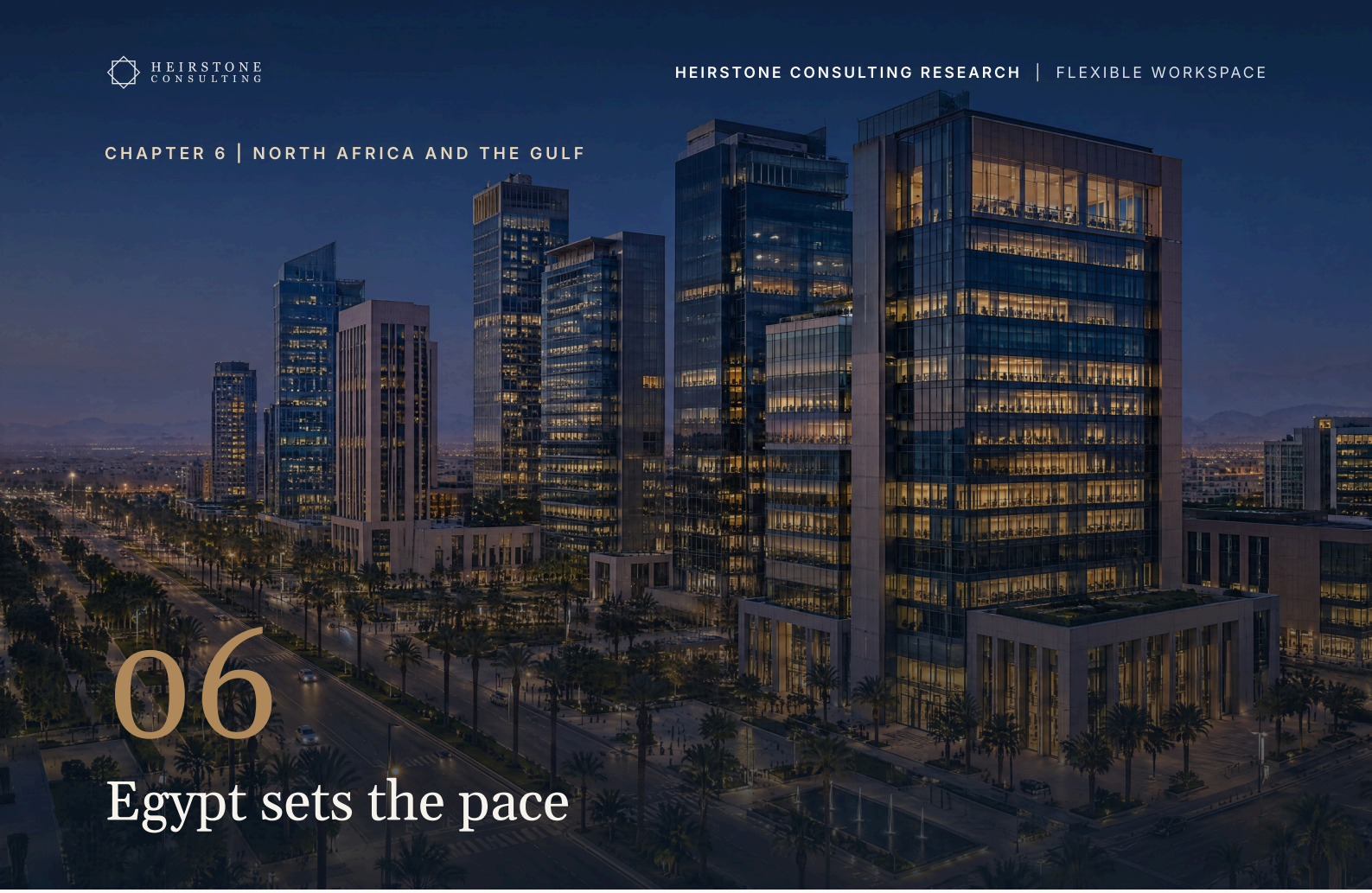
IWG centres in six francophone Sub-Saharan countries, 8% of its Sub-Saharan total

68%

francophone share of African tech equity outside the four largest markets in 2025 (Partech)

US$84m

tech equity raised in Senegal in 2025, up 137% (Partech)



CHAPTER 6 | NORTH AFRICA AND THE GULF

06 Egypt sets the pace

IWG names Egypt its fastest-growing market in the Middle East and Africa. Egypt has the largest IWG network of the nine Middle Eastern and North African countries covered here, IWG says its largest centre worldwide is under way in New Cairo, and Egyptian operators have worked in partnership with landlords since 2017.

IWG ended 2024 with 18 centres in Egypt. In 2026 its Egypt pages listed 66 locations across Cairo, Giza, Alexandria, the Delta and the Red Sea coast, more than its pages showed for the United Arab Emirates (42) or Saudi Arabia (28); listings can include centres signed but not yet open. IWG signed agreements for ten more Egyptian centres in the first half of 2026, calls Egypt its highest-growing market in the Middle East and Africa and targets 150 centres by 2030. Egypt, Morocco and Tunisia together list 101 locations, as many as the six Gulf states.

The growth has come with developers. IWG signed its first Egyptian cluster franchise with IC Group in 2021, for two Regus centres of more than 4,500 m^2 each in the business district of the New Administrative Capital. It opened Regus Arabella Plaza with the developer Arabella in March 2023 and announced four more with it, agreed with Najma Walk in 2025 to run that project's offices under the Regus brand, and is preparing Spaces at The Ark Business Park in New Cairo, more than 16,000 m^2, which it says will be its largest centre worldwide.

66

locations on IWG's Egypt pages in 2026, against 18 centres at the end of 2024; listings can include centres not yet open

16,000+ m^2

Spaces at The Ark, New Cairo, which IWG says will be its largest centre worldwide

150

IWG's target for Egyptian centres by 2030

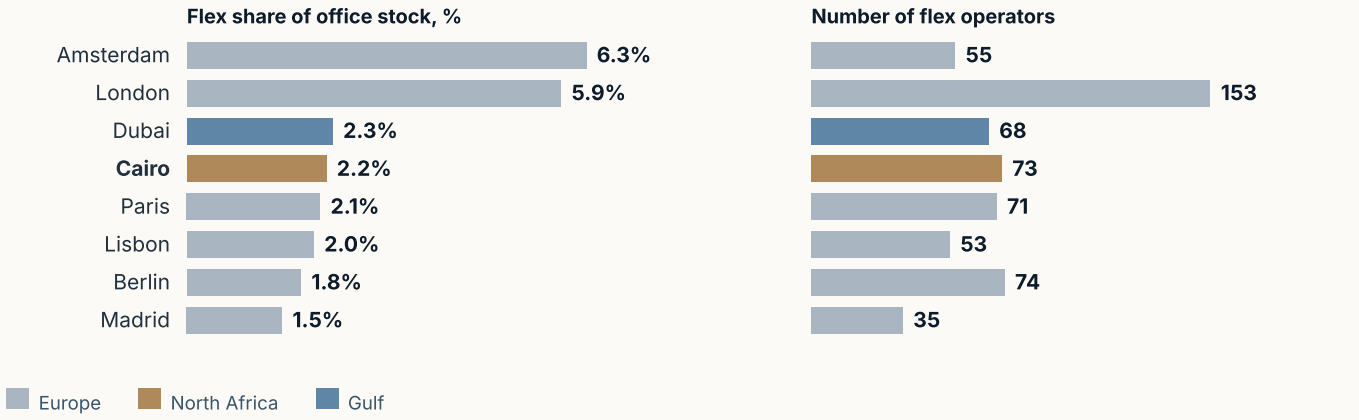
EGYPT IN THE REGIONAL AND EUROPEAN BENCHMARKS

Cairo has more flex operators than Paris and a larger flex share than four of six European capitals

EXHIBIT 16

Cairo's flex market has 73 operators and 2.2% of office stock, level with Dubai and ahead of four of the six European capitals shown

Colliers EMEA key market indicators, December 2024: flex share of office stock (left; EMEA average 2.4%) and number of flex operators (right)

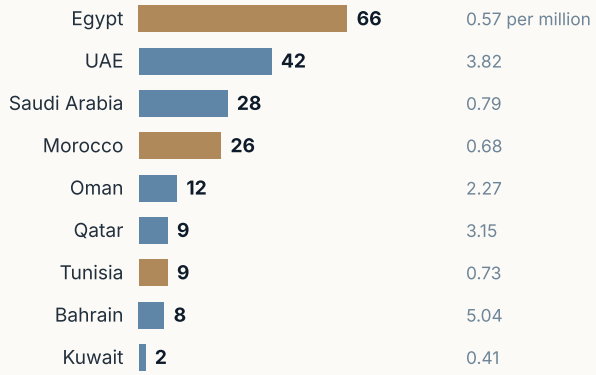


Source: Colliers, Flexpansion: the architecture of agility (July 2025), market table at December 2024 (43 legible markets of 46 monitored). Prices from the same table are not used in this report.

EXHIBIT 17

Egypt has the largest IWG network of the nine countries covered; per head, the smaller Gulf states are densest

IWG locations listed per country, 2026; locations per million inhabitants on the right



Source: IWG (Regus and Spaces) country pages, read 2026 (Bahrain from the Spaces site); World Bank, population 2024. **Heirstone analysis.** Listed locations may include centres signed but not yet open.

Colliers counted 83 flex centres run by 73 operators in Cairo at the end of 2024, more operators than in Paris (71) and almost as many as in Berlin (74). Flex made up 2.2% of office stock, close to the 2.4% average across the markets Colliers tracks. With 1.14 centres per operator, against 4.06 in London, Cairo has a deep base of local operators that owners can hire. Knight Frank reports that Cairo flex is moving from temporary swing space to permanent headquarters space for international occupiers.

Egypt also has the lowest IWG entry prices of the nine countries covered. Its entry price for a private office, EGP 160 per person per day (about US$3.05), is 43% of the UAE rate and 27% of the Saudi one; Morocco (US$4.01) and Tunisia (US$4.66) come next.

Supply is concentrated where flex is growing. JLL counted 2.8m m² of Cairo office stock in early 2026, nearly 90% of it in New Cairo, with 426,500 m² more due that year. Knight Frank, on a narrower definition, puts stock at 1.0m m² with 818,000 m² due by 2029.

Knight Frank puts Grade A rents at US$335.60 per m² a year (EGP 1,454 a month), and New Cairo business parks at US$348. IWG's 2030 target of 150 centres would more than double Egypt's density, to about 1.3 locations per million people (Heirstone analysis).

US$3.05

IWG's Egyptian entry price for a private office per person per day, the lowest of the nine Middle Eastern and North African countries covered

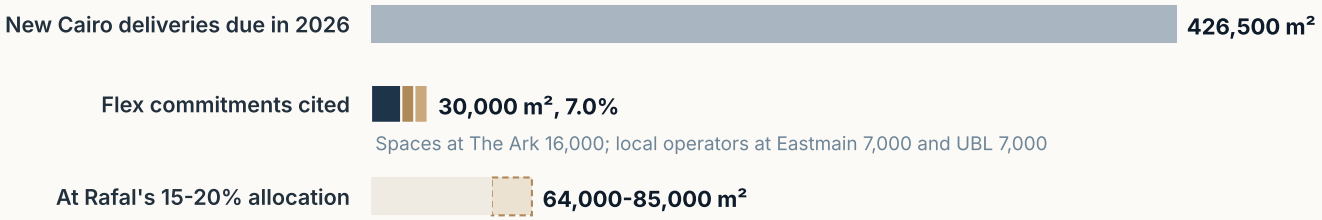
NEW CAIRO AND EGYPT'S OPERATORS

Flex is taking whole blocks of New Cairo's supply, and Egypt's operators already work for landlords

EXHIBIT 18

Three flex commitments equal about 7% of the office space due in New Cairo in 2026

m²: JLL's 2026 New Cairo pipeline; flex commitments reported by Knight Frank; Rafal's published 15-20% allocation of leasable area to flex operators, applied for illustration



Source: JLL Q1 2026 via Invest-Gate (4 May 2026); Knight Frank, Cairo Office Market Review H2 2025 (July 2026); Allwork.Space citing Rafal (31 August 2026). **Heirstone analysis.** Sources and dates differ, and Knight Frank does not name the two local operators.

EXHIBIT 19

Egypt's operators already span most of the ladder, from franchises and landlord partnerships to occupier-branded floors

Egyptian flex operators identified in public sources, 2026; colour shows the closest structure on the ladder

OPERATOR	GROUP	LOCATIONS	DISTRICTS	STRUCTURE	EVIDENCE
IWG (Regus, Spaces, HQ, Signature)	IWG plc	66 listed; 18 at end-2024	Cairo, Giza, Alexandria, New Cairo, New Capital, Delta, Red Sea	Franchise (IC Group); developer partnerships (Arabella, Najma Walk)	Target 150 by 2030; The Ark 16,000+ m²
MQR	WRK+, with The GrEEK Campus	15	Downtown, Corniche, Maadi, New Cairo, Al Rehab, Heliopolis, West Cairo, El Gouna	Manages for landlords since 2017; tracks capex returns to landlords	Nile City Towers with Nile City Investments; Alburouj with IMKAN Misr; 50,000+ m² with GrEEK Campus (2023)
The GrEEK Campus	WRK+	2 hubs	Downtown; West Cairo	Technology park operator	25,000 m² downtown; units of 40-1,400 m²
CO-55	Independent	6 operating, 10 listed	New Cairo (9), Nasr City	Serviced offices; occupier-branded floors; owns a building	Floors for ServiceNow and Accenture; 500+ members, 60+ companies
Kamelizer Spaces	Kamelizer studio (2014)	3	New Cairo, Sheikh Zayed	Coworking with company registration and virtual offices	300+ companies (May 2025)
Other independents	District Spaces (KMT House), KAPITALIZE, Coworker	1-3 each	Maadi, Ring Road, Heliopolis	Thematic coworking; serviced offices	KMT House for urban technology (2018); offices of 12-30 m²
GAFI startup offices	Investment authority	1; Alexandria planned	Nasr City Public Free Zone	State landlord, free-zone status	9,000 m²

Source: IWG Media Centre (26 July 2021); Invest-Gate (1 November 2023; 2025; 16 April 2025; 27 July 2025); Zawya (15 September 2026); Regus Egypt page; Enterprise (22 November 2022; 4 July 2023; 9 May 2025); Waya (12 June 2023); MQR, The GrEEK Campus, CO-55, Kamelizer and Kamelizer Spaces websites; Business Monthly (28 May 2025); CUIP directory; Coworker.com; Invest in Egypt (GAFI, 9 November 2025). Seen 2026.

MQR, founded in 2012, became a real estate management company in 2017, partnering with developers and landlords, and counts capex returns to landlords among its core measures. CO-55 designs floors around its clients' identities. Kamelizer Spaces sells company registration with its desks, using the flex address as a base for incorporation.

The state is a landlord too. GAFI set aside 9,000 m² of startup offices in the Nasr City Public Free Zone in November 2025. In the New Administrative Capital, ten business-district towers for offices and administration total 806,000 m², and IWG's franchise partner IC Group plans two Regus centres there.

MOROCCO AND THE GULF

Morocco grows with local partners; the Gulf adds landlord-run, white-label and licence-led flex

EXHIBIT 20

Gulf owners and free zones reach flex by seven routes, from leasable-area quotas to licence-linked desks

Routes into flexible workspace observed in the UAE and Saudi Arabia, with published scale and terms; colour shows the closest structure on the ladder

ROUTE	EXAMPLE	SCALE AND TERMS
Developer allocation to operators	Rafal, Riyadh	15-20% of leasable area in new projects reserved for flex operators
Landlord-operated space	DMCC premium offices, JLT; in5 (TECOM)	Offices of 50-323 sq ft at AED 35,000-78,000 a year (US$9,530-21,239) with utilities and visas; in5 has served 500+ startups since 2013
White label run by a specialist	Sultan Holding with infinitSpace	50,000 sq ft in Bay Gate Tower, Dubai, and Sky Tower, Abu Dhabi; 20 MENA sites targeted
Licence-linked desks	Meydan Free Zone; WeWork with Virtuzone (2020)	Trade licence with a flexi-desk from AED 12,500 (US$3,404); licence, visas and WeWork access from AED 29,995
Leased serviced offices	Servcorp; WeWork One Central; KOFISI Expo City	Servcorp 14 centres in Saudi Arabia and 6 in the UAE; 75,000 sq ft lease at One Central; 95,000+ sq ft whole building at Expo City
Aggregator	Letswork	1,030+ workspaces, 80,000+ members, 25 cities in 15 countries; US$2.1m seed round (2022)
Subsidised hub	Hub71, Abu Dhabi Global Market	410+ startups; subsidised office space, housing and medical insurance

Source: Allwork.Space (31 August 2026); DMCC premium offices page; in5; Urban Living News (25 May 2023); Meydan Free Zone; Virtuzone (17 May 2020); Servcorp country pages; Cushman & Wakefield Core case study (One Central); KOFISI (23 January 2026); Letswork; Wamda (13 December 2022); Hub71. Seen 2026 unless dated. US$ at AED 3.6725.

Morocco. IWG had 20 Moroccan centres in March 2022, when it opened Spaces at Anfa Place in Casablanca, 3,500 m², with its strategic partner YANO OFFICES; large companies and multinationals then made up 40-50% of its clients there. It lists 26 locations in 2026, 17 of them on its Casablanca page, including a Regus centre at Casablanca Finance City. KOFISI runs Casa Anfa, Workin.space lists 49 coworking spaces in Casablanca with desks at MAD 720-3,800 a month (about US$72-381), and Knight Frank reports operators expanding on nearshoring demand. IWG also lists 9 locations in Tunisia.

United Arab Emirates. IWG lists 42 locations. Flex was 2.3% of Dubai's office stock at the end of 2024 on Colliers' count, against under 1% in 2018 on JLL's. Dubai Grade A rents rose 26.2% in the year to mid-2026, according to JLL, with occupancy near 94% (CBRE). Free zones create demand by regulation: Meydan states that most accept a flexi-desk as the registered address for licensing and visas, and DMCC hosts more than 26,000 companies.

Saudi Arabia. IWG lists 28 locations, 19 on its Riyadh page, and Servcorp 14, more than twice its UAE count, including KAFD and ROSHN Business Front. More than 600 companies have regional headquarters in Riyadh. Savills puts prime flex desks at US$1,066 a month there and US$1,089 in Dubai, and The Instant Group ranked Riyadh third worldwide for flex enquiries in 2024.

15-20%

of leasable area in Rafal's new Riyadh projects allocated to flex operators

US$1,089

average prime flex desk per month in Dubai; US$1,066 in Riyadh (Savills)

26

IWG locations in Morocco in 2026, against 20 in March 2022

CHAPTER 7

07 Choosing a structure

The structure an owner should sign follows from six questions, each answerable from the evidence in this report. The answers point to a rung on the ladder; the same building can use more than one.

1. Spread	Is the Desk-to-Lease Ratio above 6.3 m², inside 4.6-6.3 m² or below 4.6 m² for the product the building can sell?	Exhibits 9, 11
2. Capital	Can the owner fund a fit-out of 29 to 107 months of prime rent and carry 18 months of ramp-up?	Exhibits 7, 8
3. Scale	Does the owner control several buildings with flex-suitable floors? European own brands run 7 to 52 sites.	Exhibit 5
4. Currency	Are rents and flex prices set in the same currency, or are rents in dollars and desks in local currency?	Exhibit 9
5. Occupier	Do corporate teams want a floor under their own name, as at CO-55 in New Cairo?	Exhibit 19
6. Distribution	Does the location need an international network or a marketplace to sell its space?	Exhibits 3, 20

The test does not rank structures. A fixed lease is the right answer for an owner without capital in a city where operators will pay a fair rent; an own brand is right only for an owner with a portfolio, capital and a wide spread. Most owners in Africa and Egypt will sit between the two, on a management agreement or a revenue share, and the fee terms then matter most (page 24).

EXHIBIT 21

Management agreements need a wide spread and owner capital; own brands also need a portfolio; revenue shares work where the spread is thin

Heirstone flex structure test: what each structure needs from the six questions

● needs it ◑ helps ○ not needed

STRUCTURE	SPREAD	CAPITAL	SCALE	CURRENCY	OCCUPIER	DISTRIBUTION	WHEN IT FITS
Operator lease	○	○	○	●	○	◑	Owner wants a fixed income and an operator will sign; fragile where rent and prices differ in currency
Variable rent or revenue share	◑	◑	○	○	○	◑	Thin spread, high vacancy or a currency gap; fills space without a fixed operator rent
Franchise or licence	◑	●	◑	◑	○	●	A local group with capital wants to run an international brand across a country or a district
Management agreement	●	●	○	◑	◑	●	Wide spread and owner capital, without the scale or appetite to run a brand
Joint venture or white label	●	●	◑	◑	◑	○	Wide spread, owner capital and a portfolio, with a specialist to operate
Owner's own brand	●	●	●	◑	◑	○	Wide spread, capital and several buildings; plan for a later sale or management handover
Occupier-branded floor	○	◑	○	○	●	○	Corporate teams that want their own name on a serviced floor

Source: Heirstone assessment based on the evidence in chapters 1 to 6. Thresholds: desk area from Awfis and WeWork India disclosures; fit-out months from Exhibit 8; ramp from IWG's 18-month RevPAR target; portfolio scale from the landlord brands in Exhibit 5.

THE TEST APPLIED

Most African and Egyptian owners should start from a management agreement or a revenue share

EXHIBIT 22

The test points to management agreements in New Cairo, Nairobi and Casablanca, revenue shares in Lagos and owner capital in South Africa

Heirstone flex structure test applied to ten markets; Desk-to-Lease Ratio from Exhibit 9; colour shows the main structure suggested

MARKET	DESK-TO-LEASE, M²	WHAT THE EVIDENCE SHOWS	STRUCTURE THAT FITS
New Cairo business parks	2.9 entry; 12.2 at The Ark	426,500 m² due in 2026; 73 operators in Cairo; corporate HQ demand; fit-out about a third of London's cost (JLL index)	Management agreements with established brands for premium floors; occupier-branded floors for multinational teams; own brand for multi-building parks
New Administrative Capital business district	n/a	806,000 m² in ten office and administrative towers; IWG cluster franchise with IC Group (2021)	Franchise or management agreement, with fit-out phased to occupancy
Lagos and Abuja	0.9 and 1.0	Dollar rents of US$55 and US$46, naira desk prices; 130+ operators in Lagos; fit-out US$2,718 per m²	Revenue share or management agreement priced in naira; dollar-priced managed floors for corporates; avoid fixed dollar leases to operators
Nairobi	7.0	US$13 prime rent; serviced offices at 2.1x unserviced rents; IWG partnerships 12 to 30 centres	Management agreements or revenue shares for Grade B owners; own brand for multi-building owners
Johannesburg and Cape Town	4.8 and 5.3	Fit-out about 107 months of prime rent; REIT capital already in flex	Owner-funded management agreements, joint ventures with operators and REIT own brands
Abidjan and Dakar	5.9 and 7.1	Euro-pegged rents and prices; 10 IWG centres in Senegal and Côte d'Ivoire; AfricaWorks, Jokkolabs, Wojo	Franchise or management agreement with a regional or international brand; hotel owners as hosts
Casablanca	3.5	26 IWG locations in Morocco, Spaces Anfa Place with a local partner; 49 listed coworking spaces; nearshoring demand	Management agreements for Grade A towers at Casablanca Finance City and Anfa; own brand only at scale
Dubai	3.0 (Dec 2024 rent)	Grade A rents up 26.2%; occupancy near 94%; free-zone licence demand	Landlord-run or white-label flex; operator leases where the owner wants fixed income
Riyadh	4.6; 4.2-6.3 across rent sources	600+ regional headquarters; 15-20% leasable-area allocations; Servcorp 14 centres in the kingdom	Space allocated to operators under management agreements; own brands for large developers
Kigali	n/a	No IWG centre; Norrsken House campus of 12,000 m² with 1,400+ members	Anchor partnership with a campus or a franchise to enter; management agreement once owners can fund fit-out

Source: Heirstone assessment based on Exhibits 9 to 20 and the sources cited there.

BEFORE SIGNING

Five terms to settle in a management agreement

No operator publishes its contract terms, so owners negotiate without benchmarks. These five points follow from the evidence on fees, ramp and fit-out in chapter 3.

1 **The fee base**
IWG charges a share of revenue and Industrious a fee plus a share of profits; IWG's Africa team described its fees there as a share of net income, which ties the operator to the owner's costs.

2 **Ramp targets**
Write revenue-per-room targets at 12 and 18 months into the contract; IWG's own target for managed partnerships is US$250 at 18 months.

3 **The fit-out**
Agree who owns it, its specification and its life; GPE writes its own off over ten years.

4 **Term and exit**
Match the term to the fit-out life, with exits if targets are missed and a right to rebrand.

5 **Reporting**
Require monthly centre-level revenue, occupancy and costs; the owner carries the result.

WHAT TO DO

Decisions for owners, investors, governments and operators

Operators have already moved to structures in which the owner funds the floor and rents the brand. The recommendations below follow from the evidence in chapters 1 to 6.

FOR

Landlords and developers

Price every flex floor three ways before signing: as a lease, as a management agreement and as an own brand. Use the Desk-to-Lease Ratio for the product the building can sell and the fit-out in months of rent.

In New Cairo and the New Administrative Capital, plan flex floors into new towers before handover. Flex commitments already equal about 7% of New Cairo's 2026 deliveries; Rafal in Riyadh reserves 15-20%.

Start an own brand only with a pipeline of several buildings, and plan the exit: IWG bought Wojo, the brand built by Bouygues Immobilier and Accor, in 2026.

FOR

Investors and lenders

Underwrite managed flex like a hotel: on the ramp (managed centres at 40-62% of IWG's own RevPAR), the fee terms and the owner's capital for the fit-out, which cost IWG about US$1.2m of net growth capital a centre in 2017-19.

Value brand platforms on their fee streams. IWG's recurring management fees rose from US$10m in 2023 to a guided US$80m in 2026; country franchises sold at GBP 1.6-2.5m a centre in 2019.

Treat a currency gap between rent and desk prices as the first risk in a flex lease; the naira lost about 72% of its dollar value between 2022 and 2025 on World Bank annual averages.

FOR

Governments, investment authorities and free zones

Let licensed flex centres serve as a company's registered office and publish the rule. UAE free zones accept flexi-desks for licensing and visas; in Cairo, Kamelizer Spaces already sells company registration with its desks.

Publish flex stock, centres and operators each year. No issuer publishes flex stock for any Sub-Saharan city.

Extend GAFI's 9,000 m² of free-zone startup offices to operators under management agreements, and offer floors in the New Administrative Capital's business district on the same terms.

FOR

Operators

Offer owners a menu of structures with published fee bases and ramp targets, so that a management agreement can be compared line by line with a lease.

In francophone Africa, where IWG has 15 centres in six countries, partner with hotel owners and landlords in Abidjan, Dakar and Douala.

Sell occupier-branded floors to corporate teams: firms with more than 100 staff are now 47% of flex occupiers worldwide, against 13% five years ago.

How Heirstone works on flexible workspace

We help landlords, developers, investors and governments decide what to build and how to run it: market and demand studies for office and flexible workspace, highest-and-best-use and repositioning studies, structure and operator selection, feasibility and business models (DCF, IRR, NPV and Monte Carlo testing), and benchmarking of the kind in this report.

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NOTES, SOURCES AND DEFINITIONS

Notes

Definitions

Flexible workspace (flex): coworking, serviced offices and managed offices let on short, all-inclusive terms. **Capital-light:** IWG's term for managed and franchised centres, which need no IWG lease or capital. **Management agreement:** the operator runs a centre for the owner, who funds the fit-out, for a fee. **Franchise or licence:** a third party runs centres under the operator's brand and pays a fee. **White label:** a centre under the owner's brand run by a specialist; **occupier-branded floor:** a serviced floor under the tenant's name. **System-wide revenue:** revenue of all centres under a brand, whoever owns them. **RevPAR:** revenue per available room (office unit) per month. **Fee take:** fee income divided by managed and franchised system-wide revenue.

Method

The Heirstone Desk-to-Lease Ratio divides IWG's lowest published monthly-plan price per person per day for a dedicated desk or private office, times 30.4, by prime or Grade A rent per m^2 per month (sources in Exhibit 9). We use operator list prices throughout; survey averages, such as Colliers' EMEA workstation averages, are not used because their sample basis is not published. Counts of IWG locations are country headlines from IWG's pages in 2026; listings may include centres signed but not yet open, and city pages use overlapping radii. Exchange rates: ExchangeRate-API, 2026 (per US$: EGP 52.43, NGN 1,331, KES 129.75, ZAR 16.65, GHS 11.75, XOF and XAF 585.06, MAD 9.97, TND 3.00, TZS 2,641.75, AED 3.6725, SAR 3.75, QAR 3.64; US$1.1209 per euro and US$1.3219 per pound). Prices published in 2025 are converted at the 2026 rate; the Egyptian pound moved from about 49.8 to 52.4 per dollar in between. World Bank annual averages show the naira at 425.98 per dollar in 2022 and 1,518.38 in 2025. Where sources conflict we give the range or the more conservative figure and say so; map positions are city centres.

Use of this report

This report is published for general information. It is not investment, legal or valuation advice and should not be relied on as such. It uses only public information, and no operator, landlord or authority named in it reviewed it. Images are illustrative.

1 THE OPERATOR STEPS OFF THE LEASE

IWG plc: H1 2026 results announcement and presentation (August 2026); Annual Report and Accounts 2025 (16 March 2026) and preliminary results (March 2026); First Quarter Trading Statement (12 May 2026); Investor Day presentation (4 December 2025). Workthere (Savills), Flexmark (1 December 2025); Savills, Major trends for European flex offices in 2026 (13 January 2026); Cushman & Wakefield Germany (6 June 2024). WeWork website and newsroom; Bisnow (15 October 2024; 10 June 2025); WeWork India website; The Office Group and Fora websites; CBRE Group via Business Wire (14 January 2025); WealthManagement.com (8 March 2021); Industrious; Servcorp 1H26 report (18 February 2026) and FY26 summary via StockWire X (20 August 2026); Allwork.Space (February 2020; 21 July 2026; 4 August 2026); Voyages d'Affaires (3 August 2026); WeWork India Q4 FY26 release (21 May 2026); Awfis Q1 FY27 presentation (13 August 2026).

2 SIX WAYS TO RUN A FLOOR

Colliers EMEA, Flexpansion (July 2025); Great Portland Estates (18 August 2025; February 2026) and flex call deck (February 2025); Landsec (11 March 2026); Storey, Wellio, Utopicus and Morning websites; Workin.space (10 June 2025); Mingtiandi (16 April 2019); IWG RNS (9 August 2019); Proactive Investors (4 November 2019); Urban Living News (25 May 2023); Letswork; CO-55; HapaKenya (8 May 2024); and the African and Egyptian sources below.

3 WHAT THE BRAND COSTS

IWG plc as above; Cape Business News (17 November 2021); OfficeRnD blog and glossary; Turner & Townsend, Global Office Fit-Out Cost Guide 2026 via Engineering News (15 June 2026) and Typical office fit-out costs (2026); JLL, Global Office Fit-out Cost Guide 2026 (index values read from chart); Knight Frank Africa Office Market Dashboard H1 2026; Cushman & Wakefield, DNA of Real Estate Europe Q2 2026.

4 TWENTY-TWO CITIES, ONE PRICE

IWG (Regus and Spaces) country, city and centre pages, read 2026; WeWork city pages; Knight Frank, Africa Office Market Dashboard H1 2026 and The Africa Report 2026/27; Knight Frank, Qatar Review Winter 2024-25 and Cairo Office Market Review H2 2025; Cushman & Wakefield Q2 2026; CBRE Q2 2026 via Allwork.Space (31 August 2026); JLL Q2 2025 via Arabian Business; Colliers (July 2025); ExchangeRate-API (2026); World Bank WDI.

5 PARTNERS SOUTH OF THE SAHARA

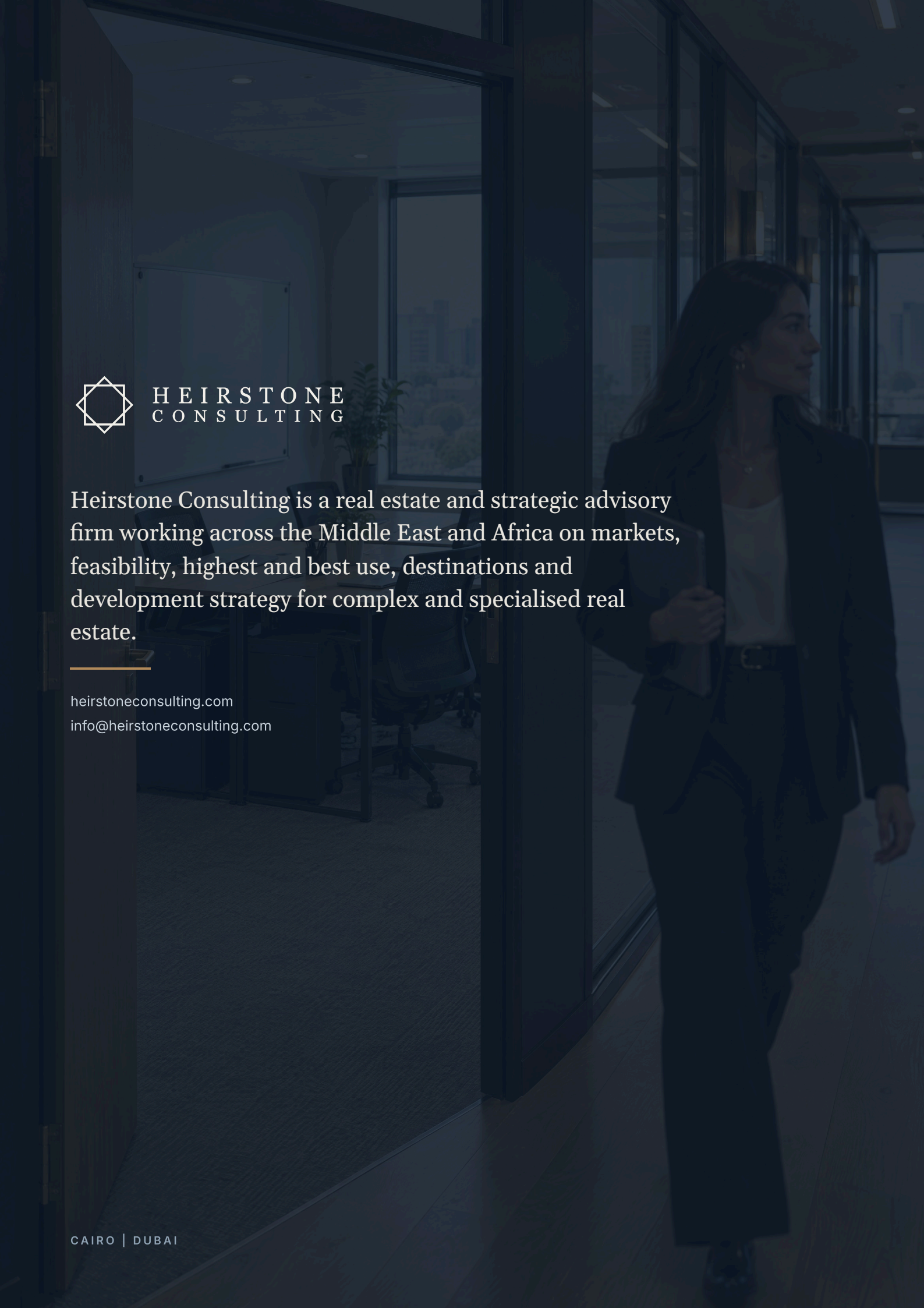
IWG country pages; HapaKenya (2024-2026); KOFISI (news, spaces and UAE sites); TechCabal (22 February 2022); African Business (December 2020); AfricaWorks; Workshop17; Ventureburn (13 January 2020); Fin24/Finweek (4 June 2019); BusinessTech (16 February 2017); Property Flash (5 October 2022); Waterfall City (4 September 2018); Tech-ish (10 July 2025); Knight Frank (H2 2025 and H1 2026 dashboards); Cytonn (8 March 2026); ThisDay (25 December 2024); BusinessDay (10 February 2026); Allwork.Space (2019, 2021); IWG Media Centre (16 September 2021); Nairobi Garage; Norrsken; Jokkolabs; Venia; Fraternité Matin (April 2026); Partech, 2025 Africa Tech VC Report (22 January 2026); UN Office at Nairobi; UNEP.

6 EGYPT SETS THE PACE

Zawya (15 September 2026); Invest-Gate (2023-2026); IWG Media Centre (26 July 2021); Regus and Spaces pages; Knight Frank, Cairo Office Market Reviews H1 2025 and H2 2025, and via Enterprise (8 July 2026) and Gulf News (21 July 2025); JLL via Invest-Gate (4 May 2026); Ministry of Housing (29 September 2024); Invest in Egypt, GAFI (9 November 2025); Business Today Egypt (12 May 2025); Enterprise (2022-2025); Waya (12 June 2023); MQR, GrEEK Campus, CO-55 and Kamelizer websites; Business Monthly (28 May 2025); FNH (17 March 2022); Workin.space; Servcorp; The Executive Centre; Letswork; Wamda; Hub71; in5; DMCC; Meydan Free Zone; Virtuzone; JLL and CBRE via Khaleej Times and Arab News (2026); Middle East Construction News (2018); The Instant Group (27 January 2025).

7 CHOOSING A STRUCTURE

Heirstone assessment based on the sources listed for chapters 1 to 6; Great Portland Estates flex call deck (February 2025) for fit-out life.



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